

Union Budget 2016-17:

What's Good For The ESDM INDUSTRY And What's Not

The Union Budget 2016, presented by the NDA government on February 29, 2016, has put forth various initiatives to give a boost to flagship projects like 'Make in India' and 'Startup India'. The Budget has certainly offered a lot to the ESDM industry by providing various tax and duty benefits. These will go a long way in strengthening the manufacturing capabilities of Indian companies. Sudeshna Das, senior executive editor, *Electronics Bazaar*, interacted with different industry experts to get a better understanding of what's good and what's not in this budget, for the ESDM industry

The Union Budget 2016 has outlined various government initiatives to transform India through the adoption of technology. These include allocation of funds for India's digital connectivity initiative by pushing the *panchayats* and municipalities to upgrade and develop digital infrastructure, enhance the use of IT infrastructure and more. The Budget has also revised the electrification target from 10 per cent to 45 per cent, which will lead to increased demand for electronics products and IT hardware.

The Budget also offers a very attractive corporate tax rate option for new manufacturers at 25 per cent plus surcharge and cess, provided the company does not claim profit linked or investment linked deductions. It should also not avail an investment allowance and accelerated depreciation.

The Budget has lowered the corporate tax rate for the next financial year for relatively small enterprises, that is, for companies with a turnover that does not exceed ₹ 50 million (during the financial year ending March 2015), to 29 per cent plus surcharge and cess. This will help MSMEs working in this segment.

In addition, favourable policies like a 100 per cent tax holiday for three years in a window of five years,

provision of minimum alternative tax and no capital gains tax if such gains are invested in the notified fund of funds envisage an environment in which startups will help to build the startup ecosystem in this sector.



The union minister for finance, corporate affairs and information and broadcasting, Arun Jaitley (holding a briefcase) along with the minister of state for finance, Jayant Sinha on the left

The Union Budget 2016 also clearly highlights the government's agenda to transform the electronics industry. Various provisions for the sector announced in the Budget will, in the long term, encourage domestic value-added manufacturing of electronics hardware and make it as competitive as imports. The announcements are in line with Make in India initiative and work towards reducing transaction costs. But what

do industry experts make of all these initiatives?

At the outset, we collated key policy amendments related to the indirect tax structure, that is, excise duty/ countervailing duty (CVD), special additional duty (SAD) and basic customs duty (BCD) for the ESDM sector. And we then solicited the opinions of industry experts, who generally feel that the Budget has largely met the expectations of the ESDM sector due to the number of changes in the indirect tax structure, which will promote the manufacture of IT hardware and mobile phones.